

## 1. Introduction

We recognise and reward the contribution of our employees through a discretionary, non-contractual annual bonus scheme. This policy sets out how the scheme operates, how eligibility and performance are assessed, and how bonus payments are calculated and awarded.

This policy supports our culture of high performance and transparency, and it reflects our values of fairness, accountability and recognition. While we aim to recognise and reward performance fairly, all bonus payments depend on several factors including individual performance, organisational outcomes, and our overall financial position.

This is a global policy and should be read alongside any applicable local policy guidance or legal requirements in your country.

This policy sits within our Performance and Reward framework.

This policy is subject to amendment by GSMA at its absolute discretion without notice or compensation and is non-contractual. GSMA is not obliged to make bonus payments, even if bonuses have been paid in previous years.

## 2. Applicability

This policy applies to you if you:

- Are a directly employed permanent or temporary employee (full-time and part-time). This excludes our Leadership Team and Extended Leadership Team members.
- Have completed at least three months' service during the performance year and have passed your probationary period (if applicable).

### Scenario 1

|                                                        |                                         |                                                       |
|--------------------------------------------------------|-----------------------------------------|-------------------------------------------------------|
| Employed 30 <sup>th</sup> September as direct employee | Pass probationary period by 31 December | Eligible to receive a bonus pro-rated from start date |
|--------------------------------------------------------|-----------------------------------------|-------------------------------------------------------|

### Scenario 2

|                                          |                                        |                                                                                                    |
|------------------------------------------|----------------------------------------|----------------------------------------------------------------------------------------------------|
| Employed 1st November as direct employee | Pass probationary period by 31 January | Eligible for bonus in the next bonus year and paid on the basis of 14 months rather than 12 months |
|------------------------------------------|----------------------------------------|----------------------------------------------------------------------------------------------------|

Some roles may include a commission scheme instead of a bonus. Your eligibility will be confirmed in your contract of employment or offer letter.

You must be in employment at the time of payment to receive any bonus, unless you are on a fixed-term contract that ends before payment.

If you do not meet these criteria, but remain employed, your performance will be considered in the **next** bonus year, starting from when you became eligible.

You will not accrue bonus during any type of leave lasting more than four weeks (e.g. maternity, paternity, adoption, parental leave, sick leave, sabbatical), **except** for compulsory maternity leave.

### 3. Policy & Procedure

The bonus year runs from 1 January to 31 December. The on-target bonus for members of GSMA's Bonus Scheme is comprised of two elements:

- Personal performance - comprising 90% of the 'on-target' bonus.
- Organisational performance - comprising 10% of the 'on-target' bonus.

Prior to any consideration of bonus payments based on performance, GSMA must achieve its financial budget for that performance year. Once our external auditors have reviewed GSMA's financial statements this will be confirmed to the Compensation Committee who approve bonus payments.

#### Personal performance

We have a high performing culture. **90%** of your on-target bonus is based on personal performance. You will be assigned one of the following performance levels by your manager based on your personal performance throughout the bonus year. All performance level allocations are subject to moderation to ensure consistency and fairness across the organisation.

| Level                        | Performance                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Personal on-target Bonus |
|------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|
| <b>Outstanding Performer</b> | <ul style="list-style-type: none"> <li>•Delivers exceptional outcomes through consistently working towards achieving organisational objectives.</li> <li>•Significantly exceeds all individual goals and objectives.</li> <li>•Adds value through demonstrating high levels of effort, effectiveness and judgement, proactively taking on higher levels of responsibility and/or activity outside their normal role.</li> <li>•Role models our values and behaviours and champions our culture through holding themselves and others to account.</li> <li>•Takes accountability for their role as a people manager (if applicable).</li> </ul>                                 | <b>130% - 150%</b>       |
| <b>High Performer</b>        | <ul style="list-style-type: none"> <li>•Achieves high-quality outcomes through consistently delivering at a very high standard.</li> <li>•Adds value through meaningful discretionary effort outside of their normal role.</li> <li>•Exceeds all individual goals and objectives.</li> <li>•Demonstrates commitment and ambition to stretch themselves (and their team if applicable).</li> <li>•Embodies our values and behaviours, holding themselves and others accountable.</li> <li>•Takes accountability for their role as a people manager (if applicable).</li> </ul>                                                                                                  | <b>120%</b>              |
| <b>Successful Performer</b>  | <ul style="list-style-type: none"> <li>•Consistently delivers to a high standard, demonstrating full competency in-role.</li> <li>•Consistently meets expectations, with a willingness to demonstrate discretionary effort.</li> <li>•Meets all individual goals and objectives and achieves valuable accomplishments in critical areas of their role.</li> <li>•Always strives to demonstrate our values and behaviours.</li> <li>•Takes accountability for their role as a people manager (if applicable).</li> </ul>                                                                                                                                                        | <b>100%</b>              |
| <b>Developing Performer</b>  | <ul style="list-style-type: none"> <li>•Delivers to an acceptable standard however is building competency in-role.</li> <li>•May require a notable amount of support to deliver, whether or not new to the role.</li> <li>•May have met some but not all individual goals and objectives.</li> <li>•Endeavours to demonstrate our values and behaviours.</li> <li>•Is developing their ability to fully take accountability for their role as a people manager (if applicable).</li> <li>•Can be used when an employee is still gaining proficiency in their role.</li> </ul>                                                                                                  | <b>80%</b>               |
| <b>Poor Performer</b>        | <ul style="list-style-type: none"> <li>•Frequently performing below expectations with the majority of individual goals and objectives not met.</li> <li>•Requires a significant amount of support and supervision to perform basic or fundamental duties, showing little or no improvement.</li> <li>•Does not always demonstrate our values and behaviours.</li> <li>•Does not always take accountability for their role as a people manager (if applicable).</li> <li>•Is or may have been on a Performance Improvement Plan during the period.</li> <li>•May have breached GSMA policy/values resulting in a formal sanction under the GSMA Disciplinary Policy.</li> </ul> | <b>0%</b>                |

#### Organisational performance

**10%** of your on-target bonus is based on GSMA's organisational performance rating as determined by the Compensation Committee each year. GSMA organisational performance is assessed based on the

organisational objectives as set by the Compensation Committee and is entirely at the Committee's discretion.

The Compensation Committee will award a rating based on a 0-5 point scale which determines the multiplier of the organisational element of the on-target bonus on a sliding scale. Organisation ratings and the resulting bonus multipliers are shown in the table below. If the organisation receives a rating that is between levels, the bonus multiplier is pro-rated accordingly. For example, a rating of 3.5 would result in a 110% multiplier of the 10% organisational element of the on-target bonus, and a rating of 4.2 would result in a multiplier of 126%.

To be eligible for the organisational element of the on-target bonus, you must achieve a minimum of 'Developing Performer' for your personal performance. If you are levelled as a 'Poor Performer' you will not be eligible for the organisational element.

| Rating | Performance                                                      | Organisational bonus multiplier |
|--------|------------------------------------------------------------------|---------------------------------|
| 5      | At or beyond stretch target and/or very strong GSMA contribution | 150%                            |
| 4      | Over-achievement and/or strong GSMA contribution                 | 120%                            |
| 3      | Target met or material progress overcoming major obstacles       | 100%                            |
| 2      | Achievement reasonable although target not met                   | 80%                             |
| 1      | Low achievement despite some industry demand                     | 50%                             |
| 0      | Zero achievement even when the industry is ready to act          | 0%                              |



### Bonus calculation example

As an example, if your salary is £60,000 per annum, you have worked for the whole year and you have an on-target bonus of 15%, you are classed as a 'Successful Performer' and the organisational rating is 3.75 (115%) then your bonus payments will be:

|                                | <u>Personal</u> | <u>Organisational</u> | <u>Total</u> |
|--------------------------------|-----------------|-----------------------|--------------|
| <b>Base salary:</b>            |                 |                       | 60,000       |
| <b>On-target bonus %:</b>      |                 |                       | 15%          |
| <b>On-target bonus amount:</b> |                 |                       | 9,000        |
| <b>% of bonus assigned:</b>    | 90%             | 10%                   |              |
| <b>Multiplier:</b>             | 100%            | 115%                  |              |
| <b>Total annual bonus:</b>     | 8,100           | 1,035                 | <b>9,135</b> |

The amount of any bonus, if awarded, may vary annually, requires that GSMA achieves its financial budgets and is entirely discretionary. You will be informed as soon as possible after the end of the financial year of the amount to be paid. If a bonus has been awarded to you it will be paid in March payroll.

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### Leavers

You will **not** receive a bonus for the current or previous year if:

- You resign or are given notice, for any reason, before the bonus is paid.

If you are on a fixed-term contract that ends before the bonus payment:

- You may receive a **pro-rated accrued bonus** in your final salary subject to eligibility and performance.
- Subject to achieving targets, the organisational rating will be no higher than 100%.
- A performance rating will be applied to this payment.

### Claw-Back

If you are found to have committed gross misconduct, we may ask you to repay some or all of your bonus within three months of payment.

## 4. Roles & Responsibilities

| Employees                                                                                                                                                                                             | Line Managers                                                                                                                                                                                                                                                                                                |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>• Understand how bonuses are calculated and what affects eligibility.</li> </ul>                                                                               | <ul style="list-style-type: none"> <li>• Set and review performance objectives fairly.</li> <li>• Provide feedback and ratings based on outcomes.</li> <li>• Confirm bonus eligibility and probation status.</li> </ul>                                                                                      |
| People and Culture Team                                                                                                                                                                               | Payroll and Compensation Committee                                                                                                                                                                                                                                                                           |
| <ul style="list-style-type: none"> <li>• Work with managers to support performance management.</li> <li>• Support employees with bonus queries.</li> <li>• Manage bonus process logistics.</li> </ul> | <p><u>Payroll:</u></p> <ul style="list-style-type: none"> <li>• Confirm financial targets.</li> <li>• Liaise with Compensation Committee.</li> </ul> <p><u>Compensation Committee:</u></p> <ul style="list-style-type: none"> <li>• Approves bonus pool, bonus multipliers and pay-outs of bonus.</li> </ul> |

## 5. Further information

Please speak to your People Business Partner for further information.

## Version Control

The scheme will be reviewed periodically. The rules of the bonus scheme are subject to change without notice or compensation.

| Version | Date         | Policy Owner                       | Policy Approver           | Description of changes                    |
|---------|--------------|------------------------------------|---------------------------|-------------------------------------------|
| 7.0     | January 2026 | Head of People Operations & Reward | People & Culture Director | Updated to new template and tone of voice |

**Next Review Date: January 2027**